



PHOTO BY GETTY IMAGES

IN THE SPOTLIGHT The crux of the matter revolves around Vijay Shekhar Sharma being classified as a public shareholder rather than a promoter in Paytm's IPO documents filed in November 2021

alignment. Sharma's case highlights critical legal questions. "One such question is the interpretation of control versus the classification of the promoter. The regulations focus on control, but the classification of a promoter is not solely dependent on this," says Sahay.

In January last year, Institutional Investor Advisory Services India Ltd (IiAS), a proxy advisory firm, also highlighted the issue. "Testing whether Sharma has control over Paytm is not a one-time assessment conducted solely at the time of the IPO; regulators must periodically evaluate whether Sharma and other founders not classified as promoters exert control over their compa-

nies or if the boards of these companies are accustomed to acting under the founders' advice, direction, or instruction." IiAS had also suggested that Sebi evaluate whether Sharma's personal equity holdings, as well as those held on behalf of the Sharma Family Trust, should be aggregated to determine compliance with the 10% threshold set out under Indian regulations and Paytm's Esop scheme.

A series of transactions has further complicated the issue by changing Sharma's direct shareholding. Before the IPO, Sharma transferred 5% of his shareholding to a family trust named VSS Holdings Trust. This move resulted in a reduction of

his stake to 9.6%, which is just below the 10% threshold that typically raises the concerns about 'control' or 'promoter'. Sebi, according to experts, is currently examining the transfer deal to determine if this was sufficient to exempt Sharma from being classified as a promoter.

For instance, in August 2023, Sharma acquired an additional 10.3% stake in Paytm from Antfin Holdings (Netherlands) through his wholly-owned overseas entity, Resilient Asset Management BV. Sharma directly and indirectly holds 24.3% stake in Paytm. Although this stake in an overseas entity falls under the category of 'foreign direct investment', Sebi's investigation might look into this deal for 'control'.

IiAS points out that this trend is commonly observed in companies with private equity investors in their pre-IPOs. "These founders enjoy several of the perks that promoters have, including board permanency, board control, and management leadership," the IiAS report states.

According to experts, the regulator is not comfortable with founders owning stock options that grant them similar rights to those of promoters. Sahay says this new trend reflects a broader concern about fairness and accountability in corporate governance. "The situation creates a regulatory gap where founders can exercise substantial influence without being subject to the same disclosure and compliance obligations as promoters," Sahay explains.

"While Sebi's approach may challenge some existing corporate structures, it aligns with the principles of transparency and fairness, which are crucial for investor confidence and sustainable growth in the market," says Sahay, adding that that is a proactive measure to close potential loopholes in corporate governance, ensuring that all players are equally accountable for their influence and control within the company. **BT**

@anandadthikari